



MEDIA RELEASE

ON

**ANNUAL REPORT AND FINANCIAL STATEMENTS
30 JUNE 2015**

**Abridged and Published in accordance with article 155 of the Company's
Articles of Association**

MUMIAS SUGAR COMPANY LIMITED
STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30TH JUNE 2015

	2015 Shs'000	2014 Shs'000
Revenue	5,531,357	13,075,912
Cost of sales	(7,191,569)	(12,227,708)
Gross profit	(1,660,212)	848,204
Fair value loss on biological assets	25,521	(91,547)
Other income	95,166	376,074
Marketing and distribution costs	(388,354)	(929,128)
Administrative expenses	(2,408,415)	(3,134,511)
Impairment of assets	(870,247)	(136,761)
Finance income	143,039	264,020
Finance costs	(1,243,755)	(601,397)
Loss before tax	(6,307,257)	(3,405,046)
Tax income	1,662,456	698,451
Loss for the year	(4,644,801)	(2,706,595)
Other comprehensive income		
Items that will not be reclassified subsequently to profit or loss:		
Remeasurement of defined benefit obligations	(92,800)	(48,700)
Deferred tax relating to remeasurement of defined benefit obligations	27,840	14,610
	(64,960)	(34,090)
Total comprehensive income for the year attributable to the owners	<u>(4,709,761)</u>	<u>(2,740,685)</u>
	Shs	Shs
Earnings per share		
Loss per share - basic and diluted	<u>(3.04)</u>	<u>(1.77)</u>

MUMIAS SUGAR COMPANY LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 30TH JUNE 2015

	2015 Shs'000	2014 Shs'000
EQUITY		
Share capital	3,060,000	3,060,000
Revaluation surplus	1,955,580	3,071,442
Retained earnings	916,464	4,510,363
Total equity	5,932,044	10,641,805
Non-current liabilities		
Borrowings	725,139	494,353
Deferred income tax	55,255	1,765,113
Provision for service gratuity	4,724	7,838
Deferred grant income	45,811	18,828
	830,929	2,286,132
	6,762,973	12,927,937
REPRESENTED BY		
Non-current assets		
Property, plant and equipment	17,642,077	18,819,230
Intangible assets	110,780	156,172
Non-current staff receivables	49,458	108,980
Retirement benefit asset	57,700	125,400
	17,860,015	19,209,782
Current assets		
Inventories	714,780	1,118,959
Biological assets	116,259	157,352
Trade and other receivables	1,530,913	2,550,785
Corporate tax recoverable	158,954	178,454
Assets held for sale	3,884	-
Collateral deposit	-	306,694
Short term deposit	-	9,812
Cash at bank and in hand	18,759	31,248
	2,543,549	4,353,304
Current liabilities		
Trade and other payables	7,569,979	4,898,879
Borrowings	5,569,017	5,245,518
Provision for service gratuity	29,093	17,350
Provision for staff leave	31,056	28,101
Unclaimed dividends	441,446	445,301
	13,640,591	10,635,149
Net current (liabilities)	(11,097,042)	(6,281,845)
	6,762,973	12,927,937

MUMIAS SUGAR COMPANY LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30TH JUNE 2015

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1st July 2013	3,060,000	3,173,432	7,149,058	13,382,490
Changes in equity in 2014				
Loss for the year	-	-	(2,706,595)	(2,706,595)
Other comprehensive loss for the year	-	-	(34,090)	(34,090)
Transfer on disposal of equipment	-	(17,754)	17,754	-
Deferred tax on transferred on disposal of equipment	-	5,326	(5,326)	-
Transfer of excess depreciation	-	(127,946)	127,946	-
Deferred tax on excess depreciation	-	38,384	(38,384)	-
At 30th June 2014	<u>3,060,000</u>	<u>3,071,442</u>	<u>4,510,363</u>	<u>10,641,805</u>
At 1st July 2014	3,060,000	3,071,442	4,510,363	10,641,805
Changes in equity in 2015				
Loss for the year	-	-	(4,644,801)	(4,644,801)
Other comprehensive loss for the year	-	-	(64,960)	(64,960)
Revaluation adjustment	-	(1,115,862)	1,115,862	-
At 30th June 2015	<u>3,060,000</u>	<u>1,955,580</u>	<u>916,464</u>	<u>5,932,044</u>

MUMIAS SUGAR COMPANY LIMITED
STATEMENT OF CASHFLOWS
FOR THE YEAR ENDED 30TH JUNE 2015

	2015 Shs 000	2014 Shs 000
Operating loss before working capital changes	(4,078,942)	(1,577,300)
Decrease/(increase) in:		
Non-current receivables	59,522	48,715
Inventories	404,179	1,344,105
Biological assets	41,093	62,026
Trade and other receivables	1,019,872	1,215,081
Increase/(decrease) in:		
Trade and other payables	2,671,100	54,207
Cash generated from operations	116,824	1,146,834
Finance income	143,039	264,020
Interest and financial charges	(922,396)	(608,693)
Income tax paid	(61)	(730)
Net cash generated from/(used in) operating activities	(662,594)	801,431
Cash flows from investing activities		
Purchase of property, plant and equipment	(48,548)	(509,072)
Purchase of intangible assets	(3,608)	(30,460)
Proceeds on disposal of non-current assets held for sale	10	1,657
Assets held for sale	319,667	-
Proceeds on disposal of quoted investments	-	43,512
Net cash generated from/(used in) investing activities	267,521	(494,363)
Cash flows from financing activities		
Proceeds from long-term borrowings	620,155	1,201,071
Repayments of long-term borrowings	(921,520)	(1,889,072)
Dividends paid	(3,855)	(11,074)
Proceeds from grants	26,983	3,449
Net cash generated from/(used in) financing activities	(278,237)	(695,626)
Net (decrease)/increase in cash and cash equivalents	(673,310)	(388,558)
Cash and cash equivalents at 1st July	(1,328,839)	(940,281)
Cash and cash equivalents at 30th June	(2,002,149)	(1,328,839)

SUGAR INDUSTRY

The 2015 global sugar supply/demand was estimated at 181 million tonnes and projected to reach 201 Million tonnes by 2020.

Production of sugar in Africa has stayed fairly stable at about 10 million metric tonnes per annum with sugar consumption remaining stable at about 15 million metric tonnes. This is expected to grow to about 20 million metric tonnes by 2020. African and COMESA countries are net importers of sugar.

Kenya's sugar consumption is growing steadily outpacing production, with domestic production supplies about 70 percent of total consumption. Earlier forecast made by KSB indicated that sugar consumption growth is at an annual rate of 4%. Domestic demand is met through production by local companies and importation of the white and brown sugar. The Kenya sugar industry is a major employer and contributor to the national economy with an estimated six million Kenyans deriving their livelihood directly or indirectly from the sugar industry.

There was an overall decrease in the industry average area under cane and cane yields when compared to the previous year. This is mainly attributable to farmers' disillusionment caused by protracted delays in payment. In Mumias zone many farmers drastically reduced production causing an acute cane shortage which resulted in low factory utilization and production. The low cane yields in our zones mainly resulted from inadequate and erratic application of fertilizers, harvesting of young pre-mature cane and poor cane management standards.

Ex-factory sugar prices were more or less stable during the year but remained low relative to industry average production costs despite statistically evident reduction in imports of table sugar into the economy.

RESULTS OVERVIEW

The company experienced numerous challenges that impacted performance adversely. The factory was closed for two and a half months in the first half of the year due to acute cane shortage, the little cane available was immature and of poor quality. The factory's poor status arising from prolonged lack of critical spares owing to cash flow constraints experienced throughout the year resulted to poor recoveries. Consequently, the company's performance for the financial year ended 30th June 2015, dipped by 71.6%, posting a loss after tax of Kshs4,644 million (2014 – Kshs2,706 million).

OPERATIONS

The company operations especially the production process suffered heavily during the year recording very high waste levels due to intermittent (start/ stop) operations caused by frequent breakdowns, insufficient and poor quality cane supplies as well as inadequate power supply. These grew progressively worse during the second half of the year

Consequently, processed sugar cane dropped by 42% to only 1.1million metric tons (2014 – 1.9m). Sugar recovery levels fell to a rendement of 6.28% from 8.97% realized in the previous year. Sugar produced dropped by 59.4%, 69,851 tons, (2014 – 172,326). Ethanol distillery produced 10,311,773 litres of spirit against 13,630,541 litres the previous financial year, a 24.3% decrease. Electricity exported to the national grid also dropped by 74% to 14,451 MWH down from 55,935 MWH exported the previous year mainly due to non-resumption of power exports to the national grid after the closure in October 2014 following a dispute with Kenya Power.

Responding to the adverse company performance, as part of the board sanctioned turnaround strategy the management enhanced their cost cutting measures in marketing, distribution and administrations operations reducing costs by 32%. The scaled down factory operations led to a further reduction on cost of sales by 41.1%.

REVENUES

Total revenue fell to Kshs 5,531 million 57.6% lower than the previous financial year (2014- Kshs13,075 million); a decrease attributable to lower sugar and ethanol sales volumes. Sugar revenue for the year amounted to Kshs 4,650 million falling below previous year by 60% due to the lower volumes sold which exceeded the positive impact of a 2.8% increase in sugar prices from Ksh62,266 per tonne the previous year to Kshs64,029.

Due to the integrated nature of the plant set up, the other business segments were also adversely affected by the poor sugar segment performance with Ethanol revenues falling to Kshs 772 million from Kshs 1,032 million and Electricity sales dropping by 74% to Kshs 59 million from Kshs 230 million achieved the previous year.

Water bottled totaled 675,000 litres (2014 – 1,291,000) while quantity sold was 775,872 litres (2014 – 1,396,000) reflecting a reduction in both production and sales of water during the year by 48% and 44% respectively. This was due to longer downtime incidental to the installation and commissioning of a new auto labeler machine as well as the impact of the factory closure.

FUTURE OUTLOOK

Although Mumias Sugar Company is undergoing serious challenges, its outlook is propitious. The board and management have carefully crafted a turnaround strategy which has also been scrutinized and adopted by the lenders and with full support and goodwill of other key stakeholders (the government). The leadership plans to return the company back to profitability through various strategies key of which are:

- 1) Re-capitalization of the company suit
- 2) Debt restructuring
- 3) Leadership & Governance priority - a restructured board, a revised company structure to foster teamwork and enhance efficiencies; new and refreshed executive team to improve and inculcate a positive corporate culture of performance management.
- 4) Collaboratively engage Farmers and possible review of farming models to enhance cane availability sustainably.
- 5) Re-engineering the route to market with more focus on direct retail sales and higher brand mix.

The management has executed some of the short term plans with some specific success factor as indicated here below;

- 1) The Government has already released Kshs 1.0 billion that was largely used to clear farmer's debts and put the factory back to operations, consequently increasing farmers goodwill and factory performance.
- 2) A new organisation structure is in place with top management including a CEO who is a very experienced & accomplished international sugar expert.
- 3) The factory underwent successful maintenance in July & August 2015 and is now back in operation with better recoveries being realized and staff morale increased.
- 4) A close review of the issues ailing the company through various forensic audits and change of some unhealthy partnerships. Management pursuing recovery of lost company property.
- 5) A strengthened internal control environment administered by a risk & compliance department

The government's vigilance on illegally imported and counterfeit sugar has improved sugar price stability and competitiveness. Mumias sugar Company has fulfilled all the preconditions for COMESA whose safeguards are due to expire next year, giving it a competitive edge.

Besides the operational efficiencies, the company plans a major drive to regain its market share through additional investment in packaging plant capacity to improve the existing brand mix

The Board of Directors is confident that with the growing stakeholder's goodwill and commitment and the rapid response program in place, the company, a national resource which supports many livelihood especially in the western region, is on its path to profitability and growth.

BY ORDER OF THE BOARD



DAN AMEYO
CHAIRMAN OF THE BOARD OF DIRECTORS
29th September 2015